

BEAVER COAL COMPANY, LIMITED
Consolidated Financial Statements
December 31, 2020
With Independent Accountant's Compilation Report

Beaver Coal Company, Limited
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December 31, 2020

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INDEPENDENT ACCOUNTANT'S COMPILATION REPORT

To the Board of Directors,
Beaver Management Corporation and Limited Partners of Beaver Coal Company, Limited:

Management is responsible for the accompanying consolidated financial statements of Beaver Coal Company, Limited and its subsidiaries (collectively, the "Partnership"), which comprise the consolidated balance sheet as of December 31, 2020, and the related consolidated statements of income, equity and cash flows for the year then ended, and the related notes to financial statements in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements, nor were we required to perform any procedures to verify the accuracy or the completeness of the information provided by management. We do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

WithumSmith+Brown, PC

September 22, 2021

Beaver Coal Company, Limited
Consolidated Balance Sheet
December 31, 2020

Assets

Cash and cash equivalents	\$ 2,092,655
Accounts receivable	537,478
Prepaid expenses	140,545
Other assets	43,725
Coal lands	3,021,447
Property and equipment, net	<u>8,197,194</u>
	<u>\$ 14,033,044</u>

Liabilities and Partnership Capital

Liabilities

Note payable	\$ 668,643
Accounts payable and accrued expenses	105,872
Deferred revenue	122,794
Withholdings on distributions	<u>302,394</u>
Total liabilities	<u>1,199,703</u>

Partnership capital

General partner - Beaver Management Corporation	5,000
Limited partners - 24,878 shares of interest	2,694,546
Undistributed earnings	<u>10,046,885</u>

Partnership capital - controlling interest	12,746,431
Noncontrolling interest	<u>86,910</u>
Total partnership capital	<u>12,833,341</u>

\$ 14,033,044

See Independent Accountant's Compilation Report.
The Notes to Consolidated Financial Statements are an integral part of this statement.

Beaver Coal Company, Limited
Consolidated Statement of Income
Year Ended December 31, 2020

Revenues

Coal royalties	\$ 3,164,718
Minimum rental charges from coal lessees	10,000
Gas royalties from lessees	49,668
Timber royalties	320,515
Rentals and other income	<u>2,459,166</u>
	<u>6,004,067</u>

Expenses

Salaries and other administrative expenses, including \$229,000 of fees paid to Beaver Management Corporation	1,841,423
Real property taxes, less \$804,832 charged to lessees	198,175
Depreciation and amortization	427,706
Loss on disposal of property and equipment	<u>175,835</u>
	<u>2,643,139</u>

Operating income	3,360,928
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Interest expense	<u>26,729</u>
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Consolidated net income	3,334,199
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Income allocable to non-controlling interest	<u>15,083</u>
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Net income allocable to controlling interest	<u>\$ 3,319,116</u>
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Beaver Coal Company, Limited
Consolidated Statement of Equity
Year Ended December 31, 2020

	Partnership Capital		Undistributed	Non-controlling	
	General	Limited	Earnings	Interest	Total
	Partner	Partners			
January 1, 2020	\$ 5,000	\$ 2,694,546	\$ 10,589,501	\$ 88,879	\$ 13,377,926
Net income	-	-	3,319,116	15,083	3,334,199
Distributions	-	-	(3,861,732)	(17,052)	(3,878,784)
December 31, 2020	<u>\$ 5,000</u>	<u>\$ 2,694,546</u>	<u>\$ 10,046,885</u>	<u>\$ 86,910</u>	<u>\$ 12,833,341</u>

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Beaver Coal Company, Limited
Consolidated Statement of Cash Flows
Year Ended December 31, 2020

Operating activities

Net income	\$ 3,334,199
Adjustments to reconcile net income to net cash provided by operating activities	
Depreciation and amortization	427,706
Loss on disposal of property and equipment	175,835
Changes in operating assets and liabilities	
Accounts receivable	64,589
Prepaid expenses	(18,573)
Accounts payable	16,835
Deferred revenue	(2,549)
Decrease in withholdings on distributions	(50,918)
Net cash provided by operating activities	<u>3,947,124</u>

Investing activity

Purchase of property and equipment	<u>(116,236)</u>
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Financing activities

Distributions to limited partners	(3,854,567)
Distributions to general partner	(7,165)
Capital draws by noncontrolling interest	(17,052)
Repayments of note payable	(73,648)
Net cash used in financing activities	<u>(3,952,432)</u>

Net change in cash and cash equivalents	(121,544)
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Cash and cash equivalents

Beginning of year	<u>2,214,199</u>
End of year	<u>\$ 2,092,655</u>

Supplemental disclosure of cash flow information

Interest paid	<u>\$ 26,729</u>
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Beaver Coal Company, Limited
Notes to Consolidated Financial Statements
December 31, 2020

1. THE PARTNERSHIP

Pursuant to the plan of liquidation of Beaver Coal Corporation (the "Corporation") as of December 29, 1967, the shareholders of the Corporation contributed assets, principally cash and coal lands, to Beaver Coal Company, Limited, a Pennsylvania limited partnership. The limited partnership agreement expired but was renewed in accordance with the agreement as of October 31, 1988 and October 31, 2009. The current limited partnership, also named Beaver Coal Company, Limited (the "Partnership"), will continue until October 31, 2030, unless previously terminated under a section of the agreement. The sole general partner of the Partnership is Beaver Management Corporation ("Beaver Management"). The Partnership derives its revenue principally from royalties and rents received from leased land located in West Virginia. During 2003, the Partnership began an entity in which it owns a 91 percent interest in Airport Road Mini-Storage, LLC, for the purpose of building and maintaining mini-storage facilities (see Note 3). During 2005, the Partnership formed a new wholly-owned subsidiary, Woodlands Amenities, LLC, for the purpose of building and renting cabins and the construction of Country Club Village for the sale of residential real estate, and formed a wholly-owned subsidiary, Gateway to Adventure, LLC, during 2010, for the purpose of constructing and operating a zip line. During 2019, Gateway to Adventure, LLC ceased operations of the former Burning Rock zip-line and the entity was formally dissolved on August 8, 2019.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Principles of Consolidation

The consolidated financial statements include the accounts of the Partnership and its majority-owned subsidiary, Airport Road Mini-Storage, LLC, and the Partnership's wholly-owned subsidiaries, Woodlands Amenities, LLC and Gateway to Adventure, LLC. All intercompany accounts and transactions have been eliminated.

Basis of Accounting

The accompanying consolidated financial statements have been prepared on the accrual basis of accounting in conformity with accounting principles generally accepted in the United States of America ("U.S. GAAP").

Concentrations of Credit Risk

The Partnership maintains cash deposits at financial institutions located in Pennsylvania and West Virginia. These deposits may, at times, be in excess of the Federal Deposit Insurance Corporation ("FDIC") insurance limit or not covered by the FDIC.

Two customers accounted for 54% (32% and 22%, respectively) of the Partnership's revenues during the year ended December 31, 2020.

Cash and Cash Equivalents

The Partnership considers all highly liquid investments with maturities of three months or less when purchased to be cash equivalents.

Accounts Receivable

Accounts receivable are uncollateralized customer obligations due under normal trade terms requiring payment within 30 days from the invoice date. Customer account balances with invoices dated over 60 days old are considered delinquent. Unpaid accounts receivable do not bear interest. Accounts receivable are stated at the amount billed to the customer. Payments of accounts receivable are allocated to the specific invoices identified on the customer's remittance advice or, if unspecified, are applied to the earliest unpaid invoices.

Beaver Coal Company, Limited
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December 31, 2020

Management individually reviews all accounts receivable balances that exceed 90 days from invoice date and based on an assessment of current creditworthiness, estimates the portion, if any, of the balance that will not be collected. At December 31, 2020, management has reviewed its accounts receivable balances and has determined that an allowance for doubtful accounts is not required.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided using the straight-line method over the estimated useful lives of the assets as follows:

<u>Description</u>	<u>Estimated Life (Years)</u>
Buildings	40
Property improvements	20
Machinery and office equipment	5-10
Vehicles	5

Income Taxes

The Partnership is not a taxpaying entity for federal and state income tax purposes, and thus no income tax expense has been recorded in the consolidated financial statements. Income from the Partnership is taxed to the partners in their individual or trust returns. The Partnership files Partnership Returns of Income with the U.S. federal, Pennsylvania, and West Virginia tax jurisdictions. There are no pending income tax examinations by the federal or state tax authorities. Management has evaluated the tax positions taken within its tax returns and does not believe there are any significant uncertain positions taken on the returns. There was no significant interest or penalties incurred in 2020.

U.S. GAAP requires management to evaluate tax positions taken by the Partnership and recognize a tax liability if the Partnership has taken an uncertain position that more likely than not would not be sustained upon examination by taxing authorities. Management evaluated the Partnership's tax positions and concluded that the Partnership had taken no uncertain tax positions that require adjustment to the financial statements to comply with the provisions of this guidance.

Advertising

Advertising costs are expensed as incurred. Total advertising expenses were \$17,061 for the year ended December 31, 2020.

Revenue Recognition

In May 2014, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2014-09, *Revenue from Contracts with Customers* (Topic 606). This new standard replaces all previous accounting guidance on this topic and eliminates all industry-specific guidance. The new revenue recognition guidance provides a unified model to determine how revenue is recognized. The core principle of the guidance is that an entity should recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. In doing so, companies need to use more judgement and make more estimates than under prior guidance. Judgements include identifying performance obligations in the contract, estimating the amount of consideration to include in the transaction price, and allocating the transaction price to each performance obligation.

Beaver Coal Company, Limited
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December 31, 2020

Effective January 1, 2020, the Partnership adopted the requirements of Topic 606 using the modified retrospective method, which applied to all new contracts initiated on or after January 1, 2020 and for all open contracts which have remaining obligations as of that date. Prior period amounts are not adjusted and continue to be reported in accordance with the modified cash basis of accounting, which was the Partnership's historical method of accounting. There was no cumulative effect adjustment to partnership capital on the date of adoption.

In determining the appropriate amount of revenue to be recognized as it fulfills its obligations under its agreements, the Partnership performs the following steps: (i) identify contracts with customers; (ii) identify performance obligation(s); (iii) determine the transaction price; (iv) allocation of the transaction price to the performance obligation(s); and (v) recognition of revenue when (or as) the Partnership satisfies each performance obligation. A performance obligation is a promise in a contract to transfer a distinct good or service to the customer and is the unit of accounting in Topic 606.

Beaver Coal Company, Limited derives its revenue principally from coal, gas and timber royalties and rents received from leased land located in West Virginia. Airport Road Mini-Storage, LLC derives its revenue from rents received from mini-storage facility rentals. Woodlands Amenities, LLC derives its revenue primarily from rents received from cabin rentals.

The royalty revenue's performance obligation includes providing the lessee the right to mine and sell coal over the lease term. Revenue is recognized on a production basis by deferring the minimums until recoupment occurs through production and recognizing the excess royalties when received.

Rental revenue derived from leases is recognized upon transfer of control to the customer, which is typically upon when the customer is given the right to use the component under lease. No separate performance obligations are present within these contracts. The Partnership recognizes revenue from the lease agreements on a straight-line basis under the accrual basis of accounting. Any rental payments received prior to the rental period when earned are recorded as a deferred revenue liability.

Pending Accounting Pronouncement

In February 2016, the FASB issued ASU 2016-02, *Leases* (Topic 842), which supersedes existing lease accounting standards. Topic 842 specifies the accounting for leases. The objective of Topic 842 is to establish the principles that lessees and lessors shall apply to report useful information to users of financial statements about the amount, timing and uncertainty of cash flows arising from a lease. The updated standard will be effective for annual reporting periods beginning after December 15, 2021. The Partnership has not yet selected a transition method and is currently evaluating the effect the updated standard will have on the financial statements.

3. INVESTMENT IN VENTURE

In April 2003, the Partnership entered into a venture agreement to construct and establish a mini-storage facility. Under the terms of the agreement, the Partnership maintains a majority ownership interest. The Partnership also maintains control and the ability to exercise significant influence over the entity and therefore has consolidated the statements of assets, liabilities and partnership capital of the entity as of December 31, 2020, and the statements of revenues collected, expenses disbursed and undistributed earnings of the entity for the years then ended. In April 2007, the Partnership purchased an additional 40 percent interest from one of the minority interest owners for approximately \$600,000, bringing the Partnership's ownership interest to 91 percent.

Beaver Coal Company, Limited
Notes to Consolidated Financial Statements
December 31, 2020

4. CASH EQUIVALENTS

At December 31, 2020, the Partnership has invested \$50,398 in uninsured money market funds which have a weighted average interest rate of less than 1 percent. Additionally, the partnership has invested in a government money market mutual fund which earned dividends of \$6,785 during the year ended December 31, 2020. The balance as of December 31, 2020 was \$1,038,218.

5. COAL LANDS

The Partnership holds fee and mineral rights to approximately 40,000 acres of coal-bearing lands and additionally holds approximately 9,600 acres without coal rights in Raleigh County, West Virginia. The property is recorded at cost. Depletion of coal lands is not recognized for financial reporting purposes until such time as the carrying value of the property exceeds its estimated net realizable value.

6. PROPERTY AND EQUIPMENT

Property and equipment consisted of the following as of December 31, 2020:

Buildings	\$ 5,851,743
Property improvements	6,659,873
Machinery and office equipment	771,419
Vehicles	<u>258,513</u>
	13,541,548
Less: Accumulated depreciation and amortization	<u>5,344,354</u>
	<u>\$ 8,197,194</u>

Depreciation and amortization expense was \$427,706 for the year ended December 31, 2020.

7. NOTE PAYABLE

The Partnership has a term loan outstanding which matures in August 2028. This loan bears interest at 3.75 percent per annum and is due in monthly installments of interest and principal of \$8,365. The term loan is secured by real estate, assignment of rents and leases. The principal due at December 31, 2020 was \$668,643.

Maturities of note payable for each of the next five years and thereafter are as follows:

2021	\$ 76,650
2022	79,574
2023	82,610
2024	85,761
2025	89,033
Thereafter	<u>255,015</u>
	<u>\$ 668,643</u>

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8. COMMITMENTS

The coal leases specify minimum levels of production. If this minimum level is not achieved through production, the deficiency must be satisfied through payment of a minimum rental charge. Revenues received through production are classified as coal royalties, whereas revenues received as a result of satisfying the deficiency are classified as minimum rental charges. Subject to certain limitations, royalties paid for coal mined above the minimum levels paid in 2020 for all leases may reduce future production royalties in excess of the yearly minimum by \$2,833,930. Minimum rentals and royalty payments to be received from these lessees and from business and residential leases for each of the five years subsequent to December 31, 2020 are as follows:

2021	\$ 2,759,435
2022	2,624,061
2023	2,621,344
2024	2,638,941
2025	2,388,034
	<u>\$ 13,031,815</u>

9. EMPLOYEE BENEFITS

401(k) Savings Plan

The Partnership has a defined contribution 401(k) savings plan covering substantially all employees meeting, on a non-discretionary basis, the service requirements as specified in the plan document. The Partnership, at its discretion, will match participating employees' contributions up to the maximum allowed by Internal Revenue Service regulations. The Partnership's matching contribution was \$25,374 in 2020.

10. CONTINGENCIES

The Partnership is subject to litigation in the normal course of business; however, there is no material litigation at this time. The Partnership is of the opinion that, based on information currently available, the resolution of any such legal matters would not have a material adverse effect on the consolidated financial statements.

11. SUBSEQUENT EVENTS

Subsequent events have been evaluated through the date that the consolidated financial statements were available to be issued on September 22, 2021. No material subsequent events have occurred since December 31, 2020 that required recognition or disclosure in the current period consolidated financial statements.